

INDIRECT TAX BRIEF

57th GST Council: the reset in one page

No slab changed. How GST is policed, refunded and fought is being rewritten. | Held 8 October 2026, New Delhi

Numbers that moved

Nil arrest power s.69 to be omitted	₹5 cr prosecution bar was ₹1 crore	₹10,000 general penalty was ₹25,000	₹10,000 notice floor minimum for show cause	10 days refund acknowledgement was 15 days	90% provisional refund zero-rated, inverted duty
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Four shifts

FEAR → PROPORTION Arrest provisions to go. Prosecution kept for larger and fraud cases. Penalties scaled down, with a reduced 5% option for non-fraud cases.	PAPER → SYSTEM Automatic registration amendments and cancellation. Automated refunds. GSTR-3B aligned with GSTR-1 and GSTR-2B from April 2027.	BLOCKED → CLAIMABLE Section 17(5) relief recommended: outdoor catering, insurance, towers, pipelines, free samples, expired goods. Refunds for input services and capital goods.	LOCAL → NATIONAL Small online sellers could register in other States through an operator's warehouse (rule 14B). No transit-State vehicle interception, with exceptions.
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The road to effect

TODAY Recommendations only. Current law applies until Central and State Acts are amended.	1 NOV 2026 Inverted-duty refund of input-services ITC, for ITC availed from this date.	1 APR 2027 Refund of capital-goods ITC over 60 months, for ITC availed from this date.	APR 2027 RETURN Revised GSTR-3B correction mechanism, after public consultation .
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How to read the detail pages: [Act amendment](#) [Rules / forms](#) [Circular](#) [Notification / other](#) Colour shows how each item becomes effective: Act changes need Parliament and every State; rules and circulars can move faster.

Recommendations only. Nothing here is law until Central and State GST Acts are amended and rules, notifications and circulars issued. No change was made to the GST rate slabs.

Also in the package

Registration and cancellation automation | e-invoicing for reverse-charge and import-of-services supplies (₹5 crore and above) | optional annual return with quarterly payment (ARQP) for B2C businesses up to ₹5 crore, in principle | export-of-services changes | late-fee waiver for small taxpayers | targeted rate items: 5% without ITC on e-commerce delivery, optional 5% for EV passenger transport, nil for psyllium, scrap under reverse charge with 2% TDS

What to do now

- **Disputes:** keep running current-law compliance. Review pending notices and appeals against the ₹10,000 floor and the new penalty options.
- **Refunds and credit:** map inverted-duty and capital-goods claims to the 1 Nov 2026 and 1 Apr 2027 cut-offs. Tag insurance, tower and catering invoices separately for later claims.
- **Returns:** build monthly GSTR-1, GSTR-3B and GSTR-2B reconciliation and IMS credit-note handling into client calendars before April 2027.

Source basis: PIB release PRID 2320934 as reflected in practitioner summaries and press. Verification notes in Part H.

Part A – Process reforms

A1. Registration

#	Recommendation of the Council	Provision / form (colour = route to law)	What it means for clients
1	Streamlined registration: comprehensive circular on documents and FAQs; drop-down choices in the application; user-friendly portal with tool-tips.	Circular; FORM GST REG-01; Rule 14A	Fewer rejections and clarification queries at the registration stage.
2	Amendment of registration: automatic acceptance of all particulars except the principal place of business (PpOB). Taxpayers on the rule 14A automatic route also get PpOB auto-accepted.	Rule 19, CGST Rules	Routine changes need no officer action. Keep registration particulars current.
3	Cancellation on application. Phase 1: REG-16 auto-accepted once returns are filed and dues paid, where ITC passed on never exceeded ₹2.5 lakh in any month, or GSTR-10 is filed in time. Phase 2: all REG-16 applications auto-accepted, with GSTR-10 details furnished in REG-16.	FORM GST REG-16; GSTR-10	Exit becomes faster. Final-return and dues discipline still decides acceptance.
4	Officer-initiated cancellation: certain grounds omitted. System-based cancellation and revocation for non-filing of returns or non-furnishing of bank account details within a specified time.	Rules 21, 21A, 22; new Rule 23A	New automation risk: lapses in filing or bank details can trigger cancellation without an officer. Revocation time limits are yet to be specified.
5	Small sellers on e-commerce platforms: simple registration in States where they have no physical presence, by declaring the operator's warehouse as PpOB. ITC pass-on up to ₹2.5 lakh a month (excluding stock transfers). Automatic grant subject to conditions.	New Rule 14B	Lets small sellers sell across States without premises in each. Conditions are still to be notified.

A2. Returns

#	Recommendation of the Council	Provision / form (colour = route to law)	What it means for clients
1	Enhancements in GSTR-1/1A/IFF for better reconciliation with GSTR-3B.	FORM GSTR-1/1A/IFF, 3B	Fewer mismatches between sales reporting and tax paid.
2	Electronic statement of tax paid on reverse-charge basis and ITC claimed.	New Rule 86D	RCM liability and credit will need to be tracked in a statement.
3	Correction or rectification of liability in GSTR-3B to align with GSTR-1/1A/IFF.	New Rule 61(1A)	An alternative route to correct liability in the return.
4	DRC-03 to declare underlying invoice details for payments made.	FORM GST DRC-03	Voluntary and demand payments will need invoice-level detail.
5	Invoice Management System: recipient may accept, reject or keep pending documents for GSTR-2B. Limits on how long credit notes can be kept pending.	New Rule 60(6A)	Credit-note handling in IMS needs a process.
6	Electronic credit reversal and reclaim statement.	New Rule 86C	Reversals and reclaims will be tracked in one statement.
7	Correction or rectification of ITC in GSTR-3B to align with GSTR-2B.	New Rule 61(1B)	An alternative route to correct ITC in the return.
8	Circular on correct reporting of ITC and reversals in GSTR-3B in the context of IMS and the new statements.	Circular to follow	Watch for the circular before restructuring workflows.

#	Recommendation of the Council	Provision / form (colour = route to law)	What it means for clients
9	Timing: effective from the return of April 2027. The revised mechanism goes into the public domain for time-bound consultation. The Finance Minister is authorised to approve changes after feedback.	None	Details may change after consultation.

A3. Refunds

#	Recommendation of the Council	Provision / form (colour = route to law)	What it means for clients
1	Excess balance in the electronic cash ledger: full refund sanctioned by the system. Acknowledgement or deficiency memo time cut from 15 to 10 days, with deemed acknowledgement. Zero-rated and inverted duty: 90% provisionally sanctioned automatically on risk evaluation.	Sec 54, CGST Act; refund rules	Faster cash flow for exporters and inverted-duty sectors. Clean, complete files benefit most.
2	System-based automated acknowledgement. Automated sanction of full zero-rated refund after adjusting dues, on a risk basis.	Sec 54	Outstanding dues will be adjusted before sanction.
3	RFD-01 to capture details in system-readable format. No scanned documents for zero-rated and inverted-duty claims.	FORM GST RFD-01	Data quality in the form becomes critical.
4	Removal of the cap of 1.5 times the value of like goods domestically supplied on zero-rated goods turnover.	Rule 89(4)(C)	Improves refund quantum for some exporters.
5	₹1,000 threshold applies to the total refund (CGST + SGST/UTGST + IGST).	Expln. to Sec 54(14)	Small refunds are combined for the threshold.
6	Standalone provision on the rate of interest on refund of pre-deposit; circular to clarify issues.	Sec 115; circular	Helps recover interest on successful appeals.

A4. Dispute resolution

#	Recommendation of the Council	Provision / form (colour = route to law)	What it means for clients
1	Circular guidelines on quality and timely issue of demand notices, adjudication and appeal orders. Fraud, wilful misstatement or suppression to be invoked only on merits. Natural justice and personal hearings.	Circular	Basis to challenge routine fraud allegations in replies.
2	Minimum threshold of ₹10,000 (CGST + SGST + IGST + Cess) for a show cause notice. Pending notices and appeals below this are decided as if the threshold applied.	Secs 73, 74, 74A	Review pending small-value matters. The overview and table word the cut-off differently ("less than" vs "of" ₹10,000); confirm in the final text.
3	Penalty deemed a "charge" where full tax, interest and penalty are paid voluntarily within time.	Secs 73, 74, 74A	Option to close matters at lower cost.
4	Reduced penalty of 5% in non-fraud cases if tax with interest is paid within 30 days (s.73) or 60 days (s.74A) of the adjudication order.	Secs 73, 74A	Compare against appeal cost and pre-deposit. Fraud cases are excluded.
5	Minimum penalty of ₹10,000 removed in non-fraud cases.	Secs 73, 74A	Proportionate penalties in small non-fraud matters.
6	Maximum general penalty reduced from ₹25,000 to ₹10,000.	Sec 125	Applies where no specific penalty is provided.

#	Recommendation of the Council	Provision / form (colour = route to law)	What it means for clients
7	Pre-deposit capped at ₹40 crore (₹20 crore CGST + ₹20 crore SGST/UTGST) where the order involves only penalty and no tax demand.	Provisos to s.107(6), s.112(8)	Plan pre-deposit funding where only penalty is in dispute.

Part B – Other major reforms under GST

B1. Seamless flow of input tax credit

#	Recommendation of the Council	Provision / form (colour = route to law)	What it means for clients
1	Refund of accumulated ITC on capital goods (zero-rated supplies) and on input services and capital goods (inverted duty structure).	Sec 54(3)	Widens refund scope. Check eligibility sector by sector.
2	Input-services ITC refund (inverted duty) available for ITC availed on or after 1 November 2026.	Cut-off date	Credit availed before the date stays outside the refund.
3	Capital-goods ITC refund spread over 60 months, for ITC availed on or after 1 April 2027.	Cut-off date	Refund is computed at 1/60th per month. Plan cash flow accordingly.
4	Blocked credit relaxed: restrictions removed, inter alia, on outdoor catering, health and life insurance, telecom towers, pipelines outside factory premises, free samples, and goods destroyed or written off on expiry of shelf life as required by law.	Sec 17(5)	Conditions and effective date are not stated in the release. “Inter alia” means the list may not be exhaustive. Tag such invoices separately for later claims.

B2. Exports and zero-rating

#	Recommendation of the Council	Provision / form (colour = route to law)	What it means for clients
1	Omission of the “distinct person” condition for export of services (foreign branches and offices).	Sec 2(6)(v) and Expln. 1 to Sec 8, IGST Act	Billing a foreign branch can qualify as export if other conditions are met.
2	Circular on receipt of payment in foreign exchange or Indian rupees where permitted.	Circular to follow	Watch the circular for payment-mode conditions.
3	Place of supply where the recipient makes goods available to the supplier: default rule (location of recipient) applies.	Sec 13(3)(a) omitted; Sec 13(2), IGST Act	Work on foreign clients' goods can be an export, subject to other conditions.
4	Supply of goods to an overseas buyer delivered in an SEZ or FTWZ, with payment in convertible forex or INR as RBI permits, treated as supply to SEZ/FTWZ (zero-rating certainty).	Expln. to s.16(1), IGST Act	Confirm whether the clarification is retrospective when notified.

B3. Ease of living and doing business

#	Recommendation of the Council	Provision / form (colour = route to law)	What it means for clients
1	Complete withdrawal of arrest powers.	Sec 69 omitted	Prosecution through courts remains. Current law applies until amended.
2	Prosecution threshold raised from ₹1 crore to ₹5 crore.	Sec 132	Fewer criminal cases for mid-value disputes.

#	Recommendation of the Council	Provision / form (colour = route to law)	What it means for clients
3	Clause (i) omitted; "evades tax" deleted in clause (e); "or in any other manner deals with" deleted in clause (h). Clause (c) to cover only fraudulent availment of ITC without receipt of goods or services or without an invoice or bill. Rationalisation of punishment.	Sec 132(1), 132(1)(c)	Criminal exposure narrows towards fake-invoice cases.
4	E-way bill: interception only on specific intelligence, authorised by an officer not below Joint Commissioner. Action only where the supplier or recipient is in that State (no transit-State interception). Goods without e-way bill or documents may be inspected, detained or seized irrespective of jurisdiction. Section 130 confiscation not applicable to goods or conveyances in transit.	Secs 68, 129, 130	Fewer roadside stops. Keep documents ready, since the exception remains.
5	Transfer of title in intellectual property, temporary or permanent, uniformly treated as a supply of services.	Schedule II	Removes classification doubt on IPR transfers.
6	Opportunity of being heard: objection and personal hearing before a decision on blocking the electronic credit ledger.	Rule 86A	Gives a procedural safeguard against blocking.
7	Late-fee waiver for delayed GSTR-3B for turnover up to ₹5 crore (preceding FY), if filed by the end of the month in which it is due.	Sec 39(1)	Relief for short delays by small taxpayers.
8	Circulars on ISD mechanism, ITC for banks and NBFCs opting under s.17(4), pre-deposit issues and demonstration vehicles. Omission of Rule 96(10) with effect from 23.10.2017, per the Supreme Court decision.	Circulars; Rule 96(10)	Past-period relief on Rule 96(10) once notified.
9	ARQP: in-principle approval of a concept note for an optional annual return with quarterly payment for aggregate turnover up to ₹5 crore, engaged exclusively in B2C supplies.	Concept note	Only a concept for now. Forms, dates and procedure are not yet available.
10	(1) Align ss.37 and 39 with the s.16(4) time limit. (2) Clarity on e-commerce operator liability under s.9(5). (3) Validation clause for notices held invalid for covering multiple financial years. (4) E-invoicing for reverse-charge supplies from unregistered persons and import of services, for turnover of ₹5 crore and above.	Secs 9(5), 16, 37, 39	Item (3) is likely to be contested: preserve objections in replies and appeals.
11	Alignment of GSTAT provisions with the Tribunals Reforms Act, 2026 and National Tribunals Commission Rules, 2026.	CGST Act; GSTAT Rules, 2023	Watch for changes to tribunal procedure.

Part C – Changes and clarifications on GST rates

C1. Goods

#	Recommendation	Notification / note
1	Sublimation paper classified under heading 4809. Past cases regularised "as is where is".	Classification
2	Toy entries cover all toys of heading 9503 (dolls, puzzles and so on), not only tricycles, scooters and pedal cars.	Sr. 497 Sch. I and Sr. 616 Sch. II, Notf. 09/2025-CTR
3	Seaweed-extract bio-stimulants registered under Schedule VI of the Fertiliser Control Order, 1985 classified under 3101. Past cases regularised.	Classification
4	Second-hand vehicle dealers under the margin scheme may avail ITC on inputs and input services other than the vehicle.	Notf. 8/2018-CT(R), 9/2018-IT(R), 1/2018-CC(R)
5	Reverse charge on waste and scrap of plastics, e-waste, tyres and used cooking oil, from unregistered to registered persons. 2% TDS on B2B supply of these.	RCM and TDS

#	Recommendation	Notification / note
6	Psyllium seeds (Isabgol): nil GST whether fresh, chilled, frozen or dried.	Rate
7	Re-treaded tractor tyres aligned with the rate on new tractor tyres.	Rate
8	Compensation cess not levied by CSD on two- and four-wheelers (01.07.2017–30.09.2022). Aerated drinks (01.07.2017–31.03.2022) exempted.	Past-period relief

C2. Services

#	Recommendation	Notification / note
1	EV passenger transport and motor-vehicle rental with operator: option of 5% GST with restricted ITC, where battery charging cost is included.	Optional rate
2	E-commerce operator delivery services (other than courier or postal): taxable under s.9(5) where the supplier is not liable under s.22(1). 5% without ITC for delivery of goods supplied or ordered through an operator. GTA exemption (Entry 21A) excluded for such goods.	Sec 9(5); Entry 21A
3	Motor-vehicle leasing: treatment of statutory and ancillary recoveries (registration, road tax, insurance, FASTag) clarified.	Clarification
4	Limited same-line ITC for restaurant and outdoor catering, hotel accommodation up to ₹7,500 per unit per day, and gym and fitness services.	ITC
5	Exemption: helicopter seat-sharing passenger transport to and from the North-East, Sikkim and Bagdogra.	Exemption
6	Exemption: storage and warehousing of seeds meant for sowing.	Exemption
7	Exemption: curing of coffee by curers for cultivators.	Exemption
8	Exemption: services of the Seamen's Provident Fund Organisation.	Exemption
9	R&D services: self-certification by the head of institution for the Entry 44A exemption (R&D, not consultancy).	Entry 44A
10	Exemption: import of services by the Indian establishment of a foreign shipping line from a related person without consideration. Past period regularised.	Exemption
11	Exemption: upfront or concession amount for the exclusive right to collect toll under the TOT model (NHAI).	Exemption
12	Special procedure for valuation and time of payment on O&M services under the TOT model.	Special procedure
13	Funds Transfer Pricing notional interest between bank branches covered by "interest" in Notf. 12/2017-CT(R).	Notf. 12/2017-CT(R)

Part D – Dates, thresholds and relief at a glance

Topic	Detail
Effective dates	1 Nov 2026: input-services ITC refund (inverted duty). 1 Apr 2027: capital-goods ITC refund over 60 months. April 2027 return: alternate amendment mechanism for GSTR-3B.
Past-period or retrospective relief	Rule 96(10) omission from 23.10.2017. "As is where is" regularisation for sublimation paper, seaweed bio-stimulants and foreign shipping-line imports. CSD cess exemption for past periods. Pending notices below ₹10,000.
Thresholds to remember	₹2.5 lakh monthly ITC pass-on (rules 14A/14B and REG-16). ₹10,000 notice threshold. ₹5 crore (prosecution, late-fee waiver, ARQP, e-invoicing for reverse charge and imports). ₹40 crore pre-deposit cap. ₹7,500 hotel tariff.
Consultation and authorisation	The alternate amendment mechanism goes for public consultation. The Finance Minister is authorised to approve changes after feedback.

Part E – Reported in the press, not in the release summary

These items appear in news or professional coverage of the Finance Minister’s briefing, but not in the release summary used for Parts A to D. Treat them as unconfirmed until the official text is checked.

Item	What was reported	Status
ITC when a supplier does not pay (s.16(2)(c))	A Committee of Officers to examine protection for a genuine buyer who has an invoice, received the goods and paid in full. Study reported within about three months.	Press / briefing. Study only, not relief.
Motor-vehicle ITC under s.17(5)	Relaxation reported as deferred after concerns raised by States.	Press. Existing rule continues.
Rate-change cadence	Council to consider rate changes once a year, effective 1 April.	Press (PTI, Tribune).
Faceless administration	Centralised faceless CGST framework for multi-jurisdiction taxpayers, with public consultation before the next Budget. Implementation targeted for FY 2027–28.	Press (Taxscan, Outlook).
“3 working days” for 90% refunds; “65%” auto-approved amendments	Specific figures that appear in some press coverage but not in the release summary.	Not used in this note.

Part F – Six things being misreported

Press and social coverage of this meeting has mixed up several points. Here is what the release summary actually supports.

	You may have seen	What the release summary supports
1	“Arrest powers scrapped, so no prosecution.”	Arrest provisions are to be withdrawn by omitting s.69. Prosecution continues above ₹5 crore and for fraud, with s.132 narrowed. Nothing changes until the Act is amended.
2	“No rate changes at all.”	The slabs are unchanged, but there are targeted items: 5% without ITC on e-commerce delivery, optional 5% for EV passenger transport, nil for psyllium, scrap under reverse charge with 2% TDS.
3	“90% of refunds in 3 working days.”	90% of zero-rated and inverted-duty refunds are provisionally sanctioned automatically on risk evaluation. A 3-day figure does not appear in the release summary.
4	“Minimum punishment removed, courts decide.”	The summary shows rationalisation of punishment under s.132 and removal of the ₹10,000 minimum penalty in non-fraud cases under ss.73 and 74A. These are different things.
5	“Prosecution limit raised to ₹10 crore.”	The figure is ₹5 crore, up from ₹1 crore.
6	“ITC is now allowed on insurance, towers and catering.”	It is a recommendation to amend s.17(5), “inter alia”, with conditions and effective date not stated. Earlier ITC stays blocked for refund purposes.

Part G – Practical points for practitioners

- **Recommendation is not law.** Arrest (s.69), prosecution (s.132), penalty (s.125) and blocked credit (s.17(5)) need amendments to Central and State GST laws. Advise clients on current law until then.
- **Criminal exposure narrows.** With the ₹5 crore threshold and a narrower s.132(1)(c), most disputes shift to civil adjudication. Fake-invoice ITC remains the enforcement focus.
- **Review the litigation inventory.** Check pending notices and appeals under ₹10,000, the 5% reduced penalty, the “charge” treatment for voluntary payment and pre-deposit planning where only penalty is in dispute.
- **Notice validation clause.** It seeks to cure notices held invalid for covering several financial years. Expect challenge and preserve objections.
- **Compliance becomes system-driven.** IMS, rules 86C and 86D, and rules 61(1A) and 61(1B) link GSTR-3B closely to GSTR-1 and GSTR-2B from the April 2027 return. Add monthly reconciliation, IMS credit-note handling and RCM tracking to client calendars.
- **Refund cash flow.** 90% provisional sanction, removal of the 1.5x cap and ITC refunds on input services and capital goods help exporters and inverted-duty sectors. The cut-off dates are prospective.

- **E-commerce and logistics.** Delivery at 5% without ITC, rule 14B and the end of transit-State interception affect pricing, registration strategy and detention disputes.
- **Watch for these when notified:** conditions and dates for the s.17(5) relief; scope wherever “inter alia” is used; whether the SEZ/FTWZ explanation and the s.13(3)(a) omission are retrospective; and how the 5% reduced penalty interacts with fraud cases (excluded).

Part H – Basis of preparation and verification

Basis. This note was prepared from published practitioner summaries that state they follow the PIB release dated 8 October 2026 (PRID 2320934), cross-checked against press and professional-site coverage. The PIB page itself could not be opened during preparation.

Check against the PIB text before relying on: (1) the wording of the ₹10,000 notice threshold (“less than” or “of”); (2) the exact s.17(5) list, conditions and effective date; (3) the e-commerce delivery entry and the EV option conditions; (4) the rule numbers and forms in A1 and A2; (5) the 5% reduced-penalty conditions.

Disclaimer. This note summarises recommendations of the GST Council for general information. It is not legal or tax advice, and it does not represent the views of the GST Council or the Government. The recommendations take effect only through the relevant circulars, notifications and law amendments. Verify against the final legal instruments before acting.